

Getty Images 11.25% Senior Secured Bonds due 2030 GETY

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by

mrbing

2026 2027

Price:	78.00	EPS	0	0
Shares Out. (in M):	540	P/E	0	0
Market Cap (in \$M):	540	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

Getty Images' ("Getty" or "the Company") \$540 million 11.25% Senior Secured Notes due 2030 at 78.00 / 20% YTM are a compelling secured credit opportunity following the Company's decision to terminate its pending merger with Shutterstock. Getty is likely heading for an LME or comprehensive restructuring within the next 6-12 months as it faces an upcoming warrant litigation payment, \$60 million of annual amortization on the 14% Senior Unsecured Notes, and 2027 springing maturities that likely cannot be cured through a regular refinancing. Despite the process risk, we think pricing is too punitive for the first-liens. At current levels, the secured debt creates Getty at about 3.0x EBITDA and a roughly 20% unlevered free cash flow yield, while our valuation supports recoveries materially above the current bond price, including par in our base case. Creative faces legitimate AI risk, but Editorial is a valuable and growing asset, and the consolidated business remains cash generative, supporting what we think is an attractive setup to earn 20%+ returns.

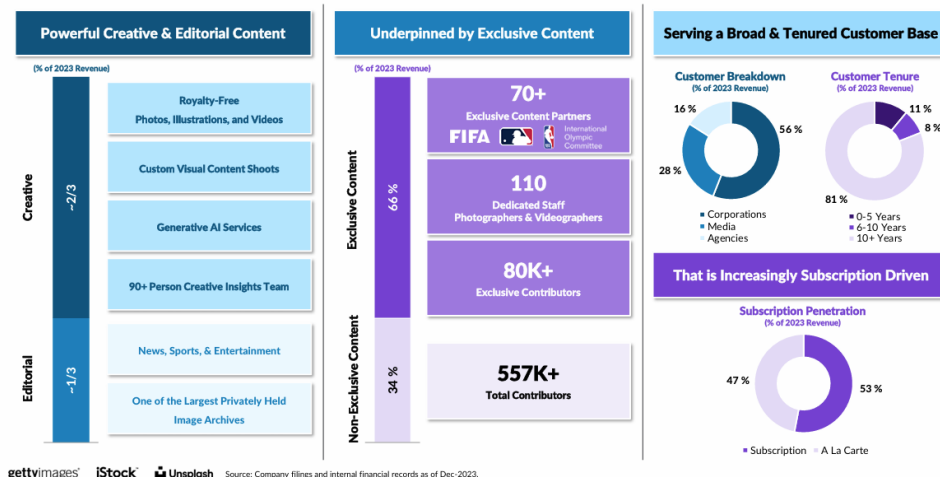
The shareholder base is relevant to how the process may unfold. The Getty family and Koch Industries collectively own more than 70% of the common equity and have a strong incentive to preserve that option value. They could provide preferred equity or other junior capital to address the liquidity problem. Our base case doesn't assume the shareholders will write a check, but their presence creates a credible out-of-court path that would be favorable to the credit.

An overview of Getty's current capital structure is below.

Getty Images Holdin Issue	BB Rating	Book Value	Last Px	Market Value	Maturity	Coupon	YTM	Spread	Interest	x FY26E EBITDA		x FY26E FCF Yield		x LTV	
										BV	MV	BV	MV	Gross	Net
ABEGT REV 1L USD	B-	120	72.50	87	5/04/28	S+400	27.4%	2,368	9		279		175		
ABEGT TL B1 1L EU	B-	411	77.00	316	2/21/30	S+600	18.2%	1,573	34						
ABEGT TL B1 1L US	B-	40	77.50	31	2/21/30	S+600	20.1%	1,526	5						
ABEGT 11 1/4 02/2	B-	540	78.00	421	2/21/30	11.250%	20.2%	1,589	61						
Total 1L Debt		1,111		856					108	4.0x	3.1x	15.8%	20.5%	76.6%	69.3%
ABEGT 9 3/4 03/01	CCC	5	90.00	5	3/01/27	9.750%	29.9%	2,588	1	3.6x	2.7x	17.4%	23.4%		
ABEGT 14 03/01/28	CCC	265	66.50	176	3/01/28	14.000%	46.1%	4,938	37						
Total Debt		1,381		1,292					146	5.0x	4.6x	12.7%	13.6%	95.2%	87.9%
Cash		(106)		(106)											
Net Debt		1,275		1,186											
Equity		175	\$ 0.42	175	419	mn shrs									
Enterprise Value		1,450		1,450											
										RCF Commitment					
										Drawn on RCF					
										RCF Availability					
										Cash					
										Total Liquidity					

Getty sits between creators of visual content and customers that need content they can legally and safely use. The premium Getty Images brand serves corporations and media companies that require creative and editorial content, customized usage rights, indemnification, and account support. iStock offers lower-cost subscriptions and a la carte content to smaller businesses, while Unsplash serves the free and low-cost end of the market. Approximately 58% of revenue is subscription based, and the Company reports Creative, Editorial, and Other business segments at approximately 56%, 38%, and 6% of LTM revenue, respectively. Getty reports that more than 80% of revenue comes from customers with relationships of more than ten years and roughly two-thirds came from exclusive content.

Getty Images' High Quality Revenue Model



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Creative is the AI-impacted business that people worry about when they think about Getty and consists primarily of royalty-free stock photography, video, illustrations, vectors, and other commercial content used in advertisements, websites, presentations, and marketing campaigns. Getty does not own most of this content. Contributors provide the assets, Getty handles curation, search, distribution, licensing, and customer support, and a licensing fee is split with the creator. The segment also includes custom visual-content assignments, in-house creative research, and Getty's own generative AI tools. Customers are not only paying for an image, but also for the legal right to use it and protection against accidentally publishing content they do not own. This is similar to a recent VIC discussion of AI and the legal profession: much of a lawyer's value comes from their signature, not from AI being incapable of reaching a similar conclusion.

Editorial is a different business. Getty combines its own staff, a network of content partners, exclusive event access, and a historical archive to cover news, sports, entertainment, and politics. Getty covers more than 160,000 events annually, has over 70 premium content partners, and maintains an archive containing more than 135 million images. An AI model can produce a generic image of a football player, celebrity, or politician, but it cannot produce an authentic photograph of what happened at the Super Bowl, the Oscars, or a presidential debate. Work conducted by the CMA in review of the Getty / Shutterstock merger supports this distinction. Editorial buyers surveyed emphasized accuracy, breadth, speed, and established usage rights, and generally viewed social media, freelancers, and in-house photographers as supplements rather than substitutes for Getty's product. The CMA also found that scale helps secure access to major sports and entertainment events and described Getty as the clear market leader, at least in the UK, across news, sports, entertainment, and archive.



Most will agree that generative AI is a legitimate long-term risk to Creative, and we do not disagree. The CMA found broad experimentation but relatively shallow usage among surveyed customers in the UK. Roughly one-third of customers had sourced AI-generated or modified content during the prior year, yet only 2% said they would replace an unavailable paid stock provider with AI, versus more than 70% who would purchase from another paid provider. Customers cited authenticity, output quality, legal and licensing risk, and public perception as the main barriers to full switching. AI is taking share in certain use cases, but it has not yet become a wholesale substitute for paid stock content, particularly at the premium end.

The CMA nonetheless expects AI to become a substantially stronger constraint as quality and workflows improve, which is consistent with how we underwrite Creative. Since FY21, Creative revenue has declined from \$597 million to \$551 million in the LTM while Editorial has grown from \$307 million to \$379 million over the same period. Consolidated revenue and EBITDA have remained roughly flat. Getty is attempting to monetize AI through its own product and display or licensing agreements with Perplexity and OpenAI, but adoption of its AI tools has been limited, and historical data-licensing revenue remains small. We give the recently announced OpenAI agreement no value, although AI platforms could become another licensing channel over time.

Getty's reported free cash flow has also been obscured by merger and litigation expenses. On a normalized basis, we estimate unlevered and levered free cash flow generation of ~\$200 million and ~\$100 million per year, respectively. Debt service coverage has remained strong, and since FY21 Getty has paid down nearly \$500 million of debt and reduced net leverage from 5.1x to 3.8x before the recent RCF draw. We don't believe the recent balance sheet stress is coming from operating results and expect Getty to remain a steady, cash-generative business.

	12/31/21	12/31/22	12/31/23	12/31/24	12/31/25	3/31/26	21 - LTM
Getty Images - Summary Financials	FY21	FY22	FY23	FY24	FY25	LTM	CAGR
Creative	597	585	579	553	557	551	-1.5%
Editorial	307	326	321	346	370	379	4.1%
Other	15	15	17	41	55	54	27.5%
Total Revenue	919	926	917	939	981	984	1.3%
YoY Growth %	0.0%	0.8%	-1.0%	2.5%	4.5%	4.5%	
Less: COGS	(248)	(255)	(250)	(253)	(261)	(267)	
Gross Profit	671	671	666	686	720	717	1.3%
Gross Margin %	73.0%	72.5%	72.7%	73.1%	73.4%	72.8%	
Less: Cash Overhead	(361)	(367)	(365)	(386)	(399)	(404)	
Adjusted EBITDA	309	304	301	300	321	312	0.2%
Adjusted EBITDA Margin %	33.7%	32.8%	32.9%	32.0%	32.7%	31.7%	
Less: Unlevered Cash Taxes	(53)	(52)	(48)	(56)	(62)	(60)	
Plus: Change in Net Working Capital	31	(9)	5	(10)	(14)	27	
Less Capital Expenditures	(49)	(59)	(57)	(57)	(60)	(60)	
Unlevered Free Cash Flow	239	183	201	176	185	219	-1.6%
Less: Cash Interest Expense	(116)	(111)	(123)	(129)	(127)	(115)	
Plus: Levered Cash Tax Shield	20	22	16	15	18	13	
Levered Free Cash Flow	143	94	95	62	76	117	-3.8%
Memo: Reported Levered Free Cash Flow	140	104	76	61	6	30	NM
Secured Debt	1,472	1,134	1,101	1,014	1,077	997	
Unsecured Debt	300	300	300	300	300	300	
Total Debt	1,772	1,434	1,401	1,314	1,377	1,297	(474)
Unrestricted Cash	(186)	(98)	(137)	(121)	(90)	(96)	
Net Debt	1,585	1,336	1,264	1,193	1,287	1,201	(384)
Net Secured Debt / EBITDA	4.2x	3.4x	3.2x	3.0x	3.1x	2.9x	(1.3x)
Net Debt / EBITDA	5.1x	4.4x	4.2x	4.0x	4.0x	3.8x	(1.3x)
EBITDA / Cash Interest	2.7x	2.7x	2.5x	2.3x	2.5x	2.7x	0.0x
EBITDA - Capex / Cash Interest	2.3x	2.2x	2.0x	1.9x	2.1x	2.2x	(0.1x)

Getty and Shutterstock announced their merger in January 2025 with understandable industrial logic. Getty brought premium enterprise and Editorial content, while Shutterstock offered a broader subscription platform and more developed AI-licensing business. The combined company expected to realize \$150 million to \$200 million of annual cost savings, which together with free cash flow would have driven rapid deleveraging. The U.S. Department of Justice cleared the transaction, but the CMA required Shutterstock to sell its global editorial business. Getty declined, and by then may have concluded it was overpaying as Shutterstock's operating performance and stock price deteriorated.

We do not have a strong view on whether Shutterstock was a good deal, but closing would have been credit positive for Getty. Shutterstock would have brought approximately \$128 million of net cash, positive free cash flow, and material synergies. The acquisition financing was held in escrow and redeemed following termination, leaving Getty to address the upcoming cash requirements on a standalone basis.

Getty needs to address litigation payments related to warrants issued in connection with its 2022 SPAC transaction. Getty paid \$111 million to the first group of warrant plaintiffs in April 2026, funded through a \$120 million draw on its \$150 million revolving credit facility. After insurance recoveries and the \$30 million June amortization payment on the 14% notes, we estimate Getty has pro forma cash of \$106 million as of the end of June and \$30 million remaining availability on its RCF for total liquidity of \$136 million.

A second group of warrant holders has also prevailed, and we estimate Getty will be required to pay an additional ~\$97 million in litigation payments potentially as early as 3Q26 or 4Q26. Another \$30 million amortization payment on the 14% notes is due at the end of December, and approximately \$13 million of term loan amortization remains due in the second half of this year. In total, Getty has roughly \$140 million of non-operating capital requirements through year-end. We think the RCF will be fully drawn by the end of 3Q26 and see Getty ending this year with approximately \$30 million in cash, only modestly above our estimate of a \$25 million minimum cash requirement. Liquidity could be exhausted by 2Q27, and while finding a way to delay the second litigation payment would extend its runway, it doesn't solve maturity problems.

The maturity date on Getty's RCF springs to September 2027 if more than \$100 million of the 14% notes remain outstanding, while the EUR term loan springs to December 2027 if more than \$25 million remains outstanding. Even after making the scheduled \$60 million of annual amortization payments, \$205 million of the notes would remain outstanding at the RCF springer and \$175 million after the December 2027 payment. With a current price of 66.50 and yield above 45%, Getty cannot refinance the notes through a regular capital markets process. We therefore think the Company will need a comprehensive capital structure solution within the next 6-12 months.

	3/31/26	6/30/26	9/30/26	12/31/26	3/31/27	6/30/27	9/30/27	12/31/27		12/31/26	12/31/27
	1Q26A	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E		FY26E	FY27E
Getty Images - Liquidity Projection											
Total Revenue	227	239	241	257	229	241	244	260		963	975
YoY Growth %	1.1%	1.6%	0.4%	-9.0%	1.3%	1.2%	1.4%	1.2%		-1.9%	1.3%
Adjusted EBITDA	62	69	70	78	62	69	71	79		279	280
Adjusted EBITDA Margin %	27.2%	28.8%	29.1%	30.5%	27.0%	28.5%	28.9%	30.2%		28.9%	28.7%
Less: Unlevered Cash Taxes	(10)	(11)	(11)	(13)	(10)	(11)	(12)	(13)		(46)	(46)
Less Capital Expenditures	(14)	(14)	(14)	(15)	(14)	(14)	(15)	(16)		(58)	(59)
Unlevered Free Cash Flow	38	43	44	50	38	43	44	50		175	176
Less: Cash Interest Expense	(29)	(41)	(31)	(44)	(31)	(44)	(30)	(43)		(146)	(148)
Plus: Levered Cash Tax Shield	6	8	6	8	6	8	6	8		28	28
Levered Free Cash Flow	14	10	19	14	13	8	20	15		57	56
Less: Term Loan Amortization	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)		(26)	(26)
Less: 14% Unsecured Note Amortization	-	(30)	-	(30)	-	(30)	-	(30)		(60)	(60)
Less: Stub 2027 Unsecured Note Maturit	-	-	-	-	(5)	-	-	-		-	(5)
Less: Warrant Litigation, Net Recovery	-	(84)	(97)	-	-	-	-	-		(181)	-
Net Cash Flow	8	(111)	(84)	(22)	1	(29)	14	(21)		(209)	(35)
Unrestricted Cash, BOP	84	96	106	51	29	31	2	16		84	29
Net Cash Flow	8	(111)	(84)	(22)	1	(29)	14	(21)		(209)	(35)
Revolver Draw / (Repayment)	-	120	30	-	-	-	-	-		150	-
Other	4	-	-	-	-	-	-	-		4	-
Unrestricted Cash, EOP	96	106	51	29	31	2	16	(6)		29	(6)
RCF Commitment	150	150	150	150	150	150	150	150		150	150
Less: Drawn on RCF	-	(120)	(150)	(150)	(150)	(150)	(150)	(150)		(150)	(150)
RCF Availability	150	30	-	-	-	-	-	-		-	-
Cash, EOP	96	106	51	29	31	2	16	(6)		29	(6)
Less: Estimated Minimum Cash	(25)	(25)	(25)	(25)	(25)	(25)	(25)	(25)		(25)	(25)
Total Liquidity	221	111	26	4	6	(23)	(9)	(31)		4	(31)
Secured Debt	997	1,111	1,134	1,128	1,121	1,115	1,109	1,102		1,128	1,102
Unsecured Debt	300	270	270	240	235	205	205	175		240	175
Total Debt	1,297	1,381	1,404	1,368	1,356	1,320	1,313	1,277		1,368	1,277
Cash, EOP	(96)	(106)	(51)	(29)	(31)	(2)	(16)	6		(29)	6
Net Debt	1,201	1,275	1,353	1,339	1,325	1,318	1,298	1,283		1,339	1,283
Net Secured Debt / EBITDA	2.9x	3.2x	3.6x	3.9x	3.9x	4.0x	3.9x	4.0x		3.9x	4.0x
Net Debt / EBITDA	3.8x	4.1x	4.4x	4.8x	4.8x	4.7x	4.6x	4.6x		4.8x	4.6x
EBITDA / Cash Interest	2.2x	2.2x	2.2x	1.9x	1.9x	1.9x	1.9x	1.9x		1.9x	1.9x
EBITDA - Capex / Cash Interest	1.8x	1.8x	1.8x	1.5x	1.5x	1.5x	1.5x	1.5x		1.5x	1.5x

The immediate issue in the capital structure is the 14% unsecured notes because they are the first maturity, carry the amortization requirements, and must be addressed to cure the bank debt springing maturities. The short maturity gives them negotiating leverage in an out-of-court transaction, particularly if holders are willing to provide new money. Their bull case assumes the notes are repaid through either (i) junior capital from the shareholders, (ii) refinancing capital from the secured lenders, or (iii) through a self-help transaction funded by the unsecured holders. We think this is closer to a coin flip than a money-good, "front of the stack" trade. At 66.50, the notes create Getty at 4.6x EBITDA, roughly in line with our base case valuation and look closer to fair value than cheap. They can still get to par in a favorable out-of-court process or at the upper end of our valuation range, and may still be a good trade, but are ultimately a process bet with little margin of safety.

Getty has some incremental pari and structurally senior debt capacity, along with broad receivables financing capacity, but we do not think it is enough to fund the litigation payment, maintain adequate liquidity, and address both springing maturity requirements. This should force a more comprehensive solution. The Getty family and Koch could provide junior capital, while unsecured holders could provide new money in exchange for an improved position. We do not assume either will happen, but both groups have more incentive to preserve the existing capital structure than first-lien creditors do.

We think first-lien incentives are different. Chapter 11 would allow them to delever the business, eliminate the \$60 million annual unsecured amortization requirement, and own most or all the reorganized equity. Filing before the second warrant judgment is paid could also preserve approximately \$97 million of cash, almost twice what we think an in-court restructuring would cost. Our recovery analysis nevertheless assumes the judgment is paid in full. We don't rule out the possibility the Getty family and Koch could be interested in "re-buying" their equity via a rights offering like what CD&R did with the Multi-Color bankruptcy earlier this year.

Valuing Getty is complicated because Creative and Editorial have different economics, while the Company only discloses revenue by segment. We backed into an estimate of segment profitability by allocating content costs and operating expenses using disclosures from SEC filings. At its core, Creative is a marketplace business: Getty pays contributors a share of each licensing fee, with the rate varying by asset type and exclusivity, and retains the balance before platform and operating costs. Editorial relies more heavily on staff photographers, owned archive content, content partnerships, and exclusive event access. This results in less royalty expense on Getty-produced content, but a larger fixed cost base. Getty has disclosed nearly \$50 million of annual spending on its in-house Editorial capabilities, equal to a low-teens percentage of segment revenue. We therefore estimate high 20% EBITDA margins for Editorial versus low 30% margins for Creative.

We estimate \$110 million of FY26 EBITDA for Editorial. The segment has grown at mid-single-digit or better rates in recent years, benefits from increased outsourcing by media companies, and controls rights, access, and content that is difficult to replicate. Getty's live event coverage and historical archive should remain valuable even if traditional stock photography becomes increasingly commoditized. We value Editorial at 6.0x to 10.0x EBITDA, producing an

EV range of \$662 million to \$1.1 billion. Recent Ziff Davis and Clarivate divestitures at approximately 10.0x to 11.0x EBITDA provide support for the upper end of the range, although we do not need a double-digit multiple for the first-liens to work. At our valuation range, Editorial alone covers 58% to 97% of secured debt. At the 8.0x midpoint, Editorial represents approximately 77% of first-lien face value, roughly equal to the current bond price. Incremental Creative value and any upside to the Editorial multiple provide additional margin of safety.

Given the questions around AI impact and terminal value, we do not value Creative using a multiple. We estimate approximately \$174 million of FY26 EBITDA and model a declining cash flow stream with a negative 6.5% revenue CAGR through 2030 and 60%+ decremental margins. At discount rates between 9.5% and 12.5%, our Creative DCF produces a present value of \$484 million to \$523 million, equivalent to 2.8x to 3.0x FY26 EBITDA. This assumes Creative goes into terminal decline, gives no value to the OpenAI contract, and does not require AI concerns to disappear. Public equities facing similar AI or technology-disintermediation concerns trade at a median 3.4x NTM EBITDA, down more than 50% from their FY23 multiples, which is consistent with our approach.

Public Equity Comparables - AI Impact / Tech Decline			Mkt. Cap.	Cash	Total Debt	Ent. Value	NTM EBITDA	Leverage		LTV		Debt Yield	EV / EBITDA	
Company	Ticker	Price						Gross	Net	Gross	Net		FY23	NTM
CONCENTRIX CORP	CNXC	\$ 24.96	1,523	256	5,504	6,772	1,664	3.3x	3.2x	81.3%	77.5%	7.6%	6.9x	4.1x
CLARIVATE PLC	CLVT	\$ 1.96	1,254	242	4,334	5,346	1,014	4.3x	4.0x	81.1%	76.5%	7.4%	10.4x	5.3x
UPWORK INC	UPWK	\$ 9.54	1,178	580	379	978	273	1.4x	(0.7x)	38.8%	-20.5%	NM	16.1x	3.6x
BUMBLE INC-A	BMBL	\$ 3.05	463	246	597	814	238	2.5x	1.5x	73.3%	43.2%	11.6%	12.0x	3.4x
FUTURE PLC	FUTR	£ 3.13	282	45	392	629	189	2.1x	1.8x	62.3%	55.2%	8.3%	5.0x	3.3x
ANGI INC	ANGI	\$ 5.93	240	245	471	467	108	4.4x	2.1x	101.0%	48.6%	11.2%	10.8x	4.3x
SHUTTERSTOCK INC	SSTK	\$ 6.08	223	163	289	350	142	2.0x	0.9x	82.7%	36.2%	NM	6.1x	2.5x
FORRESTER RESEARCH INC	FORR	\$ 11.53	224	145	62	141	32	1.9x	(2.6x)	44.3%	-59.1%	NM	7.6x	4.4x
CHEGG INC	CHGG	\$ 1.03	115	66	47	96	36	1.3x	(0.5x)	49.3%	-19.1%	50.7%	7.2x	2.7x
GETTY IMAGES HOLDINGS INC	GETY	\$ 0.42	175	106	1,381	1,450	279	5.0x	4.6x	95.2%	87.9%	25.2%	11.6x	5.2x
Mean								2.6x	1.1x	68.2%	26.5%	16.1%	9.1x	3.7x
Median								2.1x	1.5x	73.3%	43.2%	9.8%	7.6x	3.6x

Net of Other value and capitalized corporate overhead, we value Getty's enterprise at \$1.1 billion to \$1.6 billion, equivalent to 4.1x to 5.7x FY26 EBITDA and unlevered free cash flow yields between 12.6% and 17.5%. After adding cash and deducting the full litigation payment and \$51 million of restructuring expenses (3.5% of total debt), first-lien coverage ranges from 0.96x to 1.35x with 1.16x in our base case. Median unsecured coverage is only 0.66x. Put differently, we think the first-liens work across almost every scenario, while the unsecured notes only get to par through a favorable out-of-court transaction or significant re-rating in market multiples. At today's price, we think there is enough margin of safety in the first-liens without requiring Creative to stabilize or Editorial to receive a heroic multiple.

Getty Images - Asset Coverage / Waterfall	Low	Base	High
FY26E Editorial EBITDA	110	110	110
x EV / EBITDA	6.0x	8.0x	10.0x
Editorial EV	662	883	1,104
Implied Editorial FY26E UFCF Yield	10.7%	8.0%	6.4%
FY26E Creative EBITDA	174	174	174
Creative Discount Rate	12.5%	11.0%	9.5%
Creative Net Present Value	484	503	523
Implied Creative EV / FY26 EBITDA	2.8x	2.9x	3.0x
Implied Creative FY26E UFCF Yield	23.9%	21.0%	17.4%

FY26E Other EBITDA	18	18	18
x EV / EBITDA	5.0x	5.0x	5.0x
Other EV	91	91	91

Less: Capitalized Corporate Costs	(98)	(117)	(136)
Total Enterprise Value	1,139	1,359	1,581
Implied EV / FY26E EBITDA	4.1x	4.9x	5.7x
Implied FY26E UFCF Yield	17.5%	14.7%	12.6%

Plus: Cash	106	106	106
Less: Litigation Payment Value Leakage	(97)	(97)	(97)
Less: Restructuring Fees	(51)	(51)	(51)
Distributable Value	1,097	1,318	1,540

Less: Total Secured Debt	(1,141)	(1,141)	(1,141)
Residual Value to Unsecured Debt	-	177	399
Less: Total Unsecured Debt	(270)	(270)	(270)
Residual Equity Value	-	-	129

Shares Outstanding	419	419	419
Equity Value per Share	\$ -	\$ -	\$ 0.31
vs. Current Share Price	-100.0%	-100.0%	-26.5%

Secured Debt Coverage	0.96x	1.16x	1.35x
Unsecured Debt Coverage	-	0.66x	1.48x

Secured Debt Coverage Sensitivity						
		Editorial EV / EBITDA				
		6.0x	7.0x	8.0x	9.0x	10.0x
Creative	12.5%	0.96x	1.05x	1.14x	1.23x	1.32x
Discount	11.8%	0.97x	1.06x	1.15x	1.24x	1.33x
Rate	11.0%	0.98x	1.07x	1.16x	1.24x	1.33x
	10.3%	0.99x	1.07x	1.16x	1.25x	1.34x
	9.5%	0.99x	1.08x	1.17x	1.26x	1.35x
Average		1.16x				
Median		1.16x				
Min		0.96x				
Max		1.35x				

Unsecured Debt Coverage Sensitivity						
		Editorial EV / EBITDA				
		6.0x	7.0x	8.0x	9.0x	10.0x
Creative	12.5%	-	0.22x	0.59x	0.97x	1.34x
Discount	11.8%	-	0.25x	0.62x	1.00x	1.38x
Rate	11.0%	-	0.28x	0.66x	1.03x	1.41x
	10.3%	-	0.31x	0.69x	1.07x	1.44x
	9.5%	-	0.35x	0.72x	1.10x	1.48x
Average		0.68x				
Median		0.66x				
Min		-				
Max		1.48x				

Implied Consolidated EV / FY26E EBITDA						
		Editorial EV / EBITDA				
		6.0x	7.0x	8.0x	9.0x	10.0x
Creative	12.5%	4.1x	4.4x	4.8x	5.2x	5.5x
Discount	11.8%	4.1x	4.5x	4.8x	5.2x	5.6x
Rate	11.0%	4.1x	4.5x	4.9x	5.2x	5.6x
	10.3%	4.2x	4.5x	4.9x	5.3x	5.6x
	9.5%	4.2x	4.6x	4.9x	5.3x	5.7x
Average		4.9x				
Median		4.9x				
Min		4.1x				
Max		5.7x				

A reorganized Getty should be able to support approximately 2.0x to 4.0x leverage, and a 10.5% to 12.5% cost of debt feels reasonable for a cash-generative business with legitimate AI concerns. Recent Shutterfly and Bumble financings at 12.5% and SOFR + 800, respectively, support this range despite each having moderate FY26E leverage and meaningful free cash flow generation.

At the middle of our valuation range, approximately 64c of first-lien recovery could consist of takeback debt, with the balance in reorganized equity. First-lien creditors could own most of that equity, making them the effective fulcrum security. The takeback debt alone covers more than 80% of the current purchase

price before assigning any value to the reorganized equity. These allocations move around depending on valuation, exit capital structure, and whether the Getty family or Koch contributes new capital. Our base case reorganized company generates approximately \$100 million of levered free cash flow, implying a high-teens or greater yield on equity.

Getty Images - Recovery Value Allocation	Low	Base	High		Low	Base	High
Enterprise Value	1,139	1,359	1,581	Takeback Debt	48.0%	63.7%	88.6%
				Equity	48.2%	36.3%	11.4%
FY26E EBITDA	279	279	279	Total Secured Debt Recovery	96.2%	100.0%	100.0%
Less: Capital Expenditures	(58)	(58)	(58)	Takeback Debt	0.0%	0.0%	0.0%
EBITDA - Capex	221	221	221	Equity	0.0%	65.6%	100.0%
				Total Unsecured Debt Recovery	0.0%	65.6%	100.0%
Target FCCR	3.0x	2.5x	2.0x	Secured Debt	100.0%	70.0%	24.6%
Interest Capacity	74	88	110	Unsecured Debt	0.0%	30.0%	51.1%
Cost of Debt	12.5%	11.5%	10.5%	Existing Equity	0.0%	0.0%	24.3%
Total Debt	589	769	1,052	Pro Forma Equity Ownership %	100.0%	100.0%	100.0%
Pro Forma Debt LTV	51.7%	56.5%	66.6%				
Implied Debt / EBITDA	2.1x	2.8x	3.8x	Memo: Unlevered Free Cash Flow	170	170	170
				Memo: Levered Free Cash Flow	115	104	88
Total Equity	550	591	529				
Implied Levered FCF Yield	21.0%	17.7%	16.6%				
Total Debt	589	769	1,052				
Plus: Cash	106	106	106				
Less: Priority Items (RX Fees, Lit. etc.)	(147)	(147)	(147)				
Remaining Debt	548	727	1,011				
Takeback Debt	548	727	1,011				
Equity	550	414	130				
Total Value to Secured Debt	1,097	1,141	1,141				
Takeback Debt	-	-	-				
Equity	-	177	270				
Total Value to Unsecured Debt	-	177	270				

The main risk to us is an aggressive LME in which Getty transfers material assets and raises more structurally senior debt than our view of the documents suggests (also, we are not lawyers, so please do your own work), either in partnership with the unsecured holders or a third party. The other important risk is that Creative collapses rather than declines. Finally, an in-court process could take longer, and cost more than we think, which could shift more recovery to equity vs. debt.

At 78.00, the 11.25% notes provide a 14.4% current yield while investors wait for the process to play out. If Getty completes an out-of-court recapitalization or refinancing that leaves the first-lien collateral undiluted, spreads should tighten and the Company should return to the deleveraging trajectory it was on before the Shutterstock process. The notes are subject to a make-whole through February 2027, after which the call price is 105.625 with step-downs to par through February 2029. In an in-court outcome, our downside valuation supports a recovery above the current trading price, while the middle of our range supports par with additional potential upside from reorganized equity. We think all of this positions the first-lien notes well to earn approximately 20-30% annualized returns through this process.

As of the publication date of this report, we have long positions in the credit of Getty Images Holdings Inc. ("GETY"). We stand to realize gains if the price of the securities increases. Following publication of this report, we may transact in the securities of the company covered herein. All content in this report represents our opinions. We have obtained all information herein from public sources we believe to be accurate and reliable. However, such information is presented "as is," without warranty of any kind – whether express or implied. We make no representation, express or implied, as to the accuracy, timeliness, or completeness of any such information or about the results obtained from its use. All expressions of opinion are subject to change without notice, and we do not undertake to update or supplement this report or any information contained herein. This report is not a recommendation to buy the securities of any company, including GETY, and is for discussion purposes only. This document does not in any way constitute an offer or solicitation of an offer to buy or sell any investment or security discussed herein or of any of our affiliates. This document is for informational purposes only. All market prices, data and other information are not warranted as to completeness or accuracy and are subject to change without notice. Our opinions and estimates constitute a best-efforts judgment and should be regarded as indicative, preliminary and for illustrative purposes only. The information contained in this document may include, or incorporate by reference, forward-looking statements, which would include any statements that are not statements of historical fact. Any forward-looking assumptions, expectations, projections, intentions or beliefs about future events may turn out to be wrong. These forward-looking statements can be affected by inaccurate assumptions or by known or unknown risks, uncertainties and other factors, most of which are beyond our control. Investors should conduct independent due diligence on all securities discussed in this document and develop a stand-alone judgment of the relevant markets prior to making any investment decision.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Warrant litigation payment

Unsecured note amortization

Bank debt springing maturities

Messages

No messages